

THE SESSION • POST-CLOSE READ

Two Tapes, *One Close*

The Dow set the pace while the Nasdaq gave back Tuesday's chip advance, and gold's 3.76% move carried Agnico Eagle to the top of the roster. Both sleeves finished modestly lower; Dividend Strategy held ahead of DVY.

S&P 500 ▼ 0.19%

NASDAQ ▼ 0.89%

DOW ▲ 0.49%

VIX 15.71

BRENT ▲ \$80

DIVIDEND STRATEGY

▲ BEAT DVY

-0.58%

1-DAY



YTD +21.84% vs DVY +16.33% · SPY +13.49%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.86%

1-DAY



YTD +18.48% vs IUSG +15.15%

THE SESSION

Wednesday delivered two markets inside one session, and the divide ran straight through silicon.

The Dow closed at 54,349.12, up 0.49%, while the Nasdaq gave back 0.89% and the S&P 500 finished a fifth of a percent lower at 7,722.12. The split traced largely to a single earnings print. AMD's Tuesday-night quarter beat on both lines and showed data-center revenue of \$6.7 billion, more than double the prior year, but capital expenditures of roughly \$808 million against about \$282 million a year earlier — paired with guidance for a softer second-half PC market on higher memory and component costs — was enough to unwind the position. Shares closed -7.04%. Elon Musk's disclosure that SpaceX will build its future AI infrastructure exclusively on Nvidia hardware, having previously signaled it would use both suppliers, sharpened the reallocation: NVDA finished +3.43%.

The second story of the day was metal. Reported progress toward a US-Iran-Oman interim arrangement to reopen the Strait of Hormuz had already pulled crude down more than 5% in each of the two prior sessions, and with it the market's inflation expectations; CME FedWatch pricing shifted from two further Federal Reserve increases this year toward one. The ten-year held near 4.62%, a third session of retreat from Monday's high. Gold gained 3.76% to \$4,308.80 and silver rallied alongside it, lifting Agnico Eagle 9.85% — the roster's largest single-name advance — and Freeport-McMoRan 3.11%. That is the practical argument for owning across sleeves: the same diplomatic headline that repriced our semiconductor exposure repriced our metals exposure in the opposite direction, on the same afternoon.

A portfolio built for one narrative has one outcome. A portfolio built for ownership has several.

Both sleeves finished modestly lower. Dividend Strategy's -0.58% held ahead of DVY at -0.94%, though it trailed SPY at -0.17% as the sleeve's semiconductor names gave back part of Tuesday's advance — LRCX -3.25% and QCOM -3.16%, both of which had gained better than 7% in the prior session. Growth Portfolio's -0.86% trailed IUSG at -0.19%, a function of concentrated AI-hardware exposure on the day that leg

gave ground; the sleeve's mining and metals positions offset a meaningful share of it. Year to date both sleeves remain well ahead of benchmark, and Atmos Energy reports fiscal third-quarter results after tonight's close, with consensus near \$1.34 per share against full-year guidance of \$8.40 to \$8.50.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

AEM +9.85%

GROWTH

Gold advanced 3.76% to \$4,308.80 as easing inflation expectations trimmed the odds of further Fed tightening. Agnico's Q2, reported last week, showed adjusted profit near \$1.5 billion, up roughly 60% year over year, with a dividend raised 13%.

NVDA +3.43%

GROWTH

SpaceX confirmed on its first public earnings call that it will build future AI infrastructure exclusively on Nvidia hardware, having previously signaled a dual-supplier approach.

DECLINERS

HUT -8.30%

GROWTH

A second session of giveback after Tuesday's Q2 report. Revenue of \$74.9 million rose from \$41.3 million a year earlier but fell short of estimates near \$80 million; the headline loss was largely unrealized digital-asset marks.

AMD -7.04%

GROWTH

Capital expenditures of roughly \$808 million against about \$282 million a year earlier, plus guidance for a softer second-half PC market, outweighed a double-beat quarter and an above-consensus third-quarter revenue guide.

FCX +3.11%

GROWTH

Copper and gold producers drew a sector-wide bid as the dollar softened and precious metals rallied. Freeport sold 710 million pounds of copper in the second quarter.

DGX +0.91%

DIVIDEND

Defensive dividend names firmed as capital rotated out of high-multiple technology. No company-specific development; the move tracks the day's sector rotation.

CRDO -5.59%

GROWTH

Gave back part of Tuesday's advance as the AI-hardware complex repriced around AMD's capex disclosure. No company-specific news.

LRCX -3.25%

DIVIDEND

Semiconductor equipment followed the complex lower, surrendering a portion of Tuesday's 7.85% advance. Positioning-driven rather than demand-driven.

HOLDINGS NEWS

Hut 8: separate the paper loss from the operating one.

Second-quarter revenue of \$74.9 million rose from \$41.3 million a year earlier but came in below estimates near \$80 million, and the reported net loss of \$177.1 million was driven largely by \$138.6 million of unrealized marks on digital assets. Excluding those marks, adjusted EBITDA was \$10.4 million against \$4.2 million a year earlier. Management reiterated roughly 949 MW of contracted AI capacity carrying about \$26.6 billion of expected contract value, with the Beacon Point campus now fully commercialized, and said future bitcoin exposure will sit primarily at American Bitcoin, its majority-owned subsidiary. The operating business is compounding; the accounting around the balance-sheet bitcoin is simply noisy, and shares have now absorbed two sessions of it.

AMD: the print was strong; the bar was stronger. Third-quarter revenue guidance of roughly \$13 billion sits above the Street's \$12.52 billion consensus but below the most optimistic estimates near \$14 billion, and management told analysts data-center unit sales should double in 2027 with server revenue growing more than 80% in the second half. The market chose to price the capex step-up and the softer PC commentary instead. Losing SpaceX as a dual-source customer compounded it. None of that changes what the business is compounding toward; it changes what the market was willing to pay for it on a Wednesday in August. We own the former.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+21.84%

vs DVY +16.33% / SPY +13.49%

GROWTH PORTFOLIO

+18.48%

vs IUSG +15.15%